

can create a buying opportunity. The risks we consider in our investing include credit, currency, business obsolescence, fraud, sovereign, interest rate, inflation, litigation, expropriation, customer concentration, vendor disruption, competition, economic, balance sheet, and political. We believe the ultimate investment risk is a permanent loss of capital.

Some confuse risk and volatility, but what happens as a result of short-term market volatility should be entirely irrelevant. If your portfolio is traded at \$1,000 today, and it drops to \$750 next year, but you ultimately sell it for \$2,000 five years from now, you've compounded your capital at almost 15%. If, on the other hand, the 25% drop to \$750 leads you to sell, then you've unfortunately let price, rather than value, be your guide. In this case, volatility has become your enemy. If you have good reason to trust your investment thesis, better to make volatility your friend and buy more at \$750, and thereby achieve a 28% return on your incremental investment for the next four years.

While the stock market functions as a voting machine from day to day, it's effectively a weighing machine over the long term, as Graham and Dodd famously observed. Just as a thermometer gives you a temperature reading today but says nothing about tomorrow, a stock price or its movement over shorter time frames say nothing about how much that business might be worth in the future. Like Graham and Dodd before us, the irrational behavior of others has allowed us to both buy at a discount and sell at a premium.

Foolish investing behavior exists broadly. Investors in mutual funds, for example, have a tendency to deify those managers after a great run—the worst possible time. Morningstar developed an illuminating report that held up one particular mutual fund as an unambiguous example of this behavior:⁴ “Assets flowing into a certain fund peaked in 2007, following an 80% commodity-fueled return that

⁴ I've hidden the fund name as the inappropriate timing of purchases and sales was the fault of the fund's investors rather than its portfolio manager.